

POST-MERGE ANALYSIS

Ultra Sound Money:

Ethereum's Supply Dynamics

& Monetary Thesis

Post-Merge Supply Mechanics · Burn Economics · Staking · Long-Term Monetary Premium



TOTAL SUPPLY

121,603,980 ETH

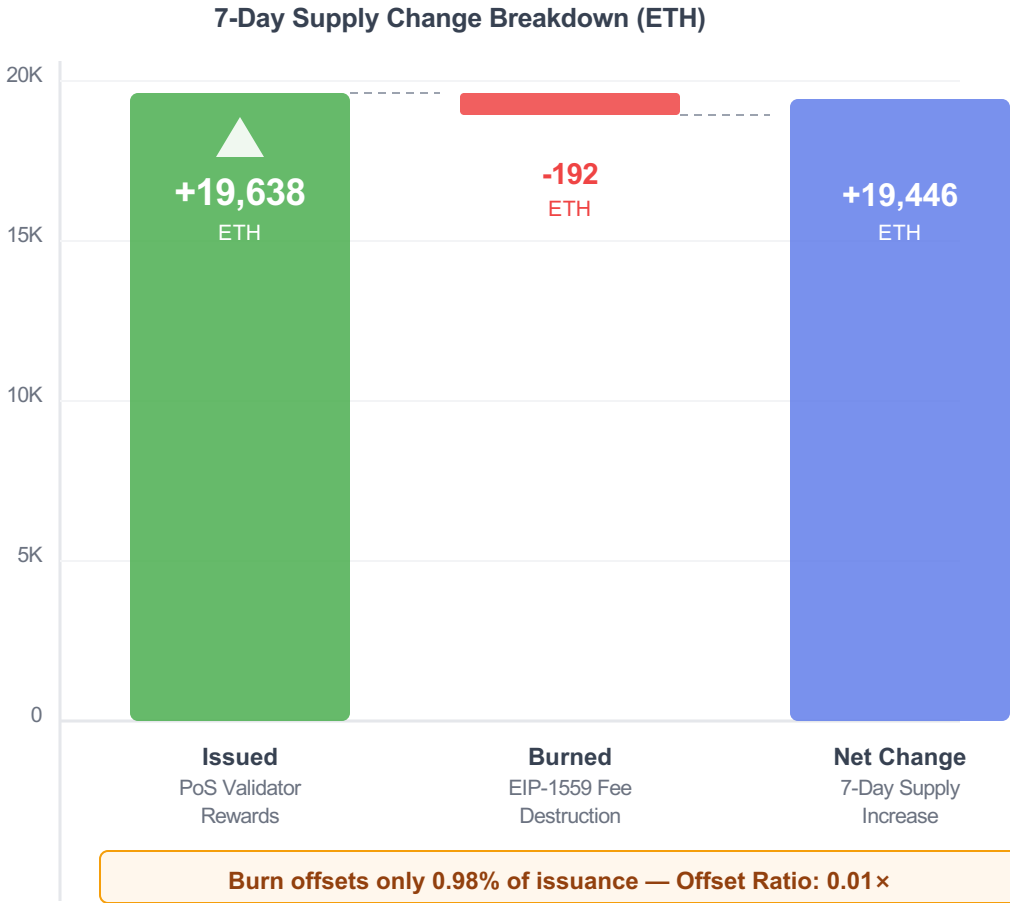
ETH PRICE

\$2,243 USD

BASE GAS (7D AVG)

0.1 Gwei

Issuance runs 102× faster than burn at current gas — net +19,446 ETH added in 7 days at +0.83%/yr



Supply Metrics Dashboard

CURRENT TOTAL SUPPLY

121,603,980

ETH

7-DAY NET CHANGE

+19,445.89

ETH added to supply

ANNUALIZED GROWTH

+0.83%

per year (mildly inflationary)

7-DAY ISSUANCE

+19,638.29

ETH to validators

7-DAY BURN

-192.39

ETH destroyed (EIP-1559)

What Does 0.01× Mean?

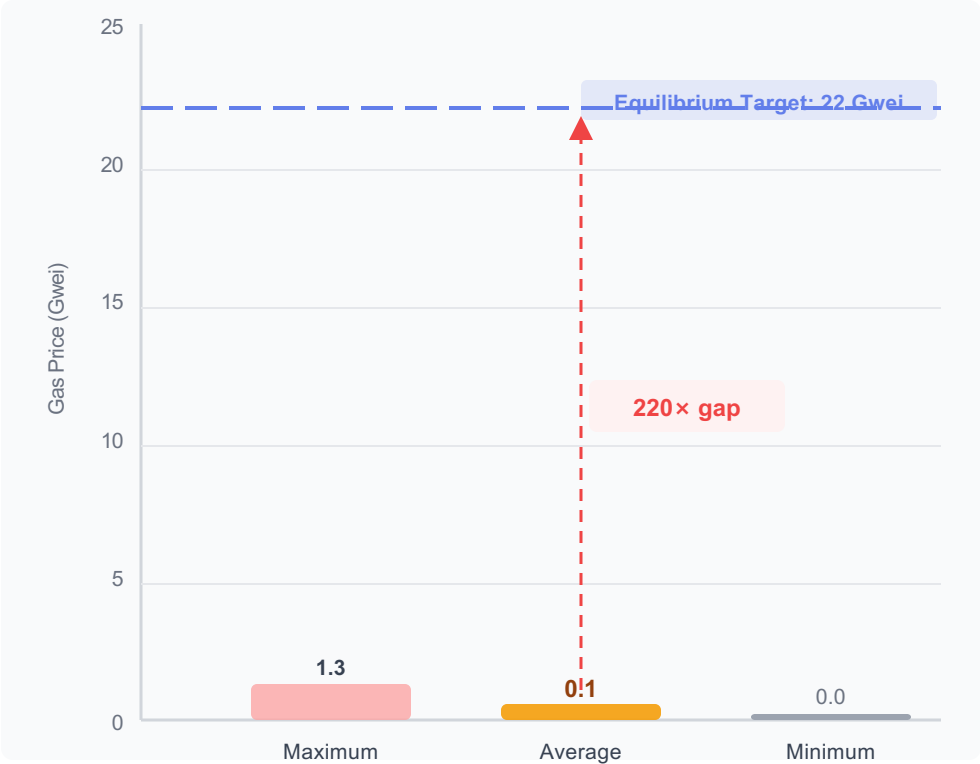
For every 100 ETH issued, only 1 ETH is burned. The EIP-1559 mechanism is fully operational but starved of fuel — gas prices are at historic lows (0.1 Gwei avg).

DAILY FLOWS (NORMALIZED)

PoS Issuance: ~2,800 ETH/day Fee Burn: ~2,200 ETH/day Net: +600 ETH/day

0.1 Gwei average — 220× below the 22 Gwei needed for supply equilibrium; burn mechanism intact, activity is missing

7-Day Gas Price Range vs. Equilibrium Target



Gas prices must reach 22 Gwei sustained avg for burn to balance issuance

Burn Mechanics Explained



EIP-1559: The Burn Engine

Since London hard fork (Aug 2021), the base fee per gas unit is destroyed (not paid to validators). Burn Rate = Base Fee × Gas Used. At 0.1 Gwei, only minimal ETH is destroyed. The mechanism is structurally intact — activity is the lever.

Formula: $\text{Burn/Block} = \text{Base Fee (Gwei)} \times \text{Gas Used} \times 10^{-9}$



Blob Gas (EIP-4844)

Introduced for L2 data availability

7-Day Blob Gas Avg

7,144,934 wei

Total blob fee burn: only 0.15 ETH (\$319) in 7 days



Gap to Deflation

From current to equilibrium:

Gas Price Needed

22 Gwei avg

Current: 0.1 Gwei — 220× below target

Key Insight:

Low gas ≠ broken mechanism. Low gas = low on-chain activity = temporary inflation. Burn resumes with activity.

Historical Gas Context

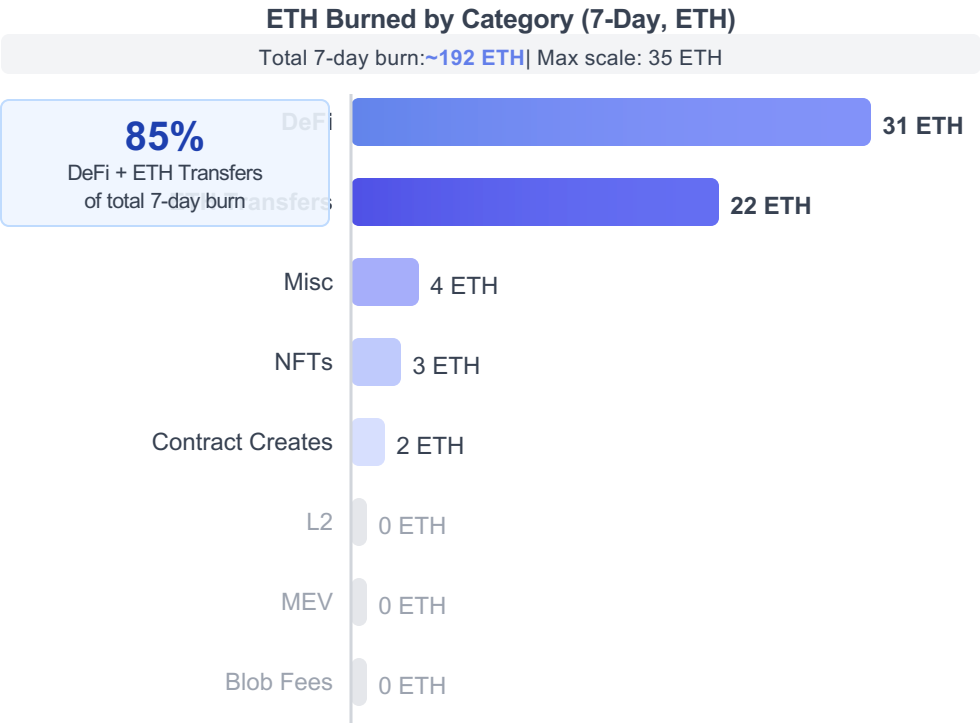
During DeFi summer (2021): 50–150 Gwei avg → massive burns → ETH was deflationary for stretches

During NFT mania (2022): 20–80 Gwei avg → significant ongoing burns → supply near flat

Today (Apr 2026): 0.1 Gwei → minimal burn → thesis intact; waiting on activity

7-day max block burn: 0.07 ETH | Blocks 24,850,874–24,850,879: 0.00–0.01 ETH/block

DeFi + ETH transfers = 85% of all fee burn; L2, MEV, and blob fees contribute zero at current gas levels



RECENT BLOCK BURN DATA

Blocks 24,850,874–879: 0.00–0.01 ETH/block
7-day single-block peak: 0.07 ETH

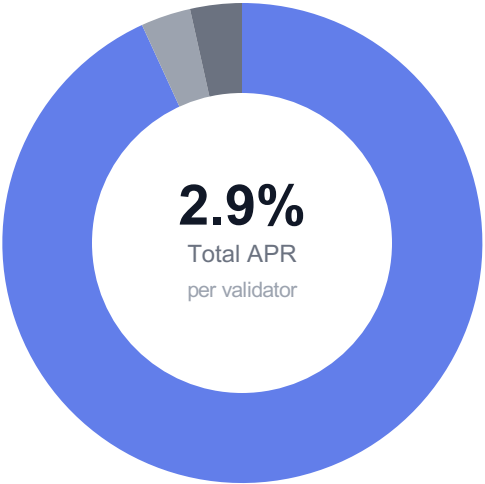
Top Burn Leaderboard (7-Day)			
RANK	CONTRACT / ACTIVITY	CATEGORY	ETH BURNED
#1	ETH Transfers Native ETH transfer gas fees	ETH Transfer	21.74 ETH
#2	Tether USDT ERC-20 stablecoin transfers	Stablecoin	13.55 ETH
#3	DeFi Contracts DEX swaps, lending, yield protocols	DeFi	~17 ETH
ZERO-ACTIVITY CATEGORIES (7-DAY)			
	Layer 2 (Rollup data posting)	L2	0.00 ETH
	MEV (maximal extractable value bots)	MEV	0.00 ETH
	Blob Gas (EIP-4844 L2 data availability)	Blob	0.00 ETH
TOTAL 7-DAY BURN			~192 ETH

Strategic Implication for Investors

L2, MEV, and blob categories at zero signals ultra-low activity environment.
Recovery of DeFi + L2 activity to 2021 levels would restore significant burn.
Watch metric: weekly burn crossing 5,000 ETH as deflation signal.

38.9M ETH locked in staking (32% of supply) at 2.9% APR — issuance dominates;
tips and MEV near zero, creating a powerful scarcity engine

Validator Reward Composition (APR)



- Issuance: 2.7% APR (93% of rewards)
- Tips: 0.1% APR (3.5% of rewards)
- MEV: 0.1% APR (3.5% of rewards)

ETH STAKED	% OF SUPPLY	PER VALIDATOR
38.9M	~32%	0.9 ETH

Staking Economics Breakdown

REWARD TYPE	AMOUNT/VALIDATOR	APR
📈 Issuance (PoS Protocol)	0.9 ETH/validator/yr	2.7%
🕒 Tips (Priority Fees)	0.0 ETH (negligible)	0.1%
⚡ MEV (Maximal Extractable Value)	0.0 ETH (negligible)	0.1%
TOTAL VALIDATOR APR		~2.9%



The Scarcity Engine

Staking contracts currently lock:

9.1M ETH — held for an average of **10.7 years**

This supply is effectively removed from liquid circulation — a built-in deflationary pressure complementing fee burn, independent of gas activity levels.

POS ISSUANCE/DAY

~2,800

ETH to validators daily

vs ~2,200 ETH/day burned (normalized)

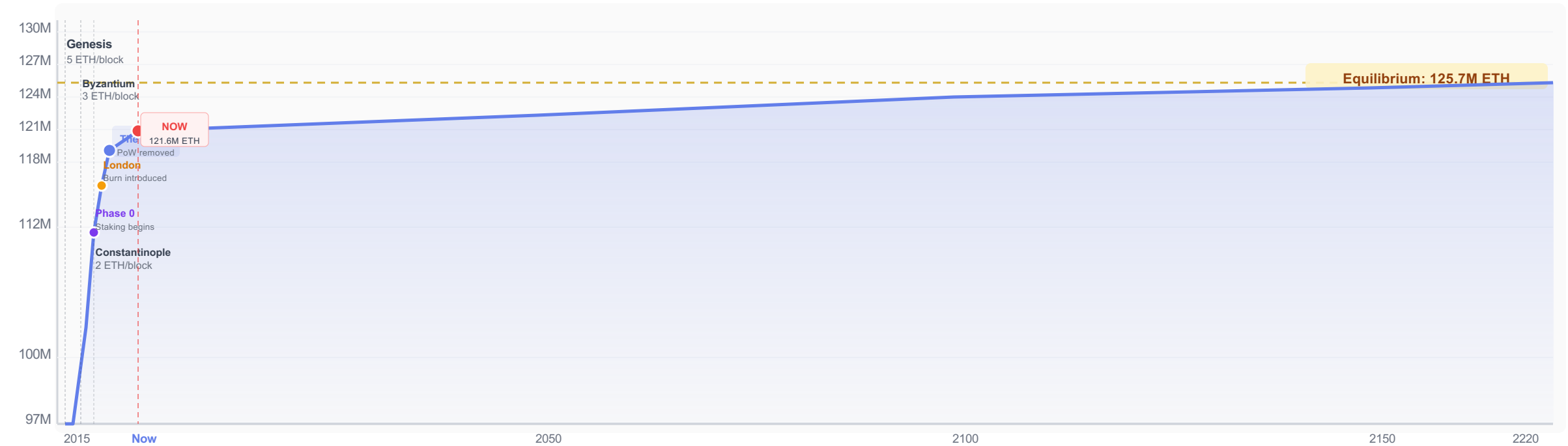
NET DAILY SUPPLY

+600 ETH

net added per day currently

Breaks even at 22 Gwei sustained gas

200-year model converges to 125.7M ETH equilibrium — requires sustained 22 Gwei avg gas; current 121.6M supply is 96.4% of the projected ceiling

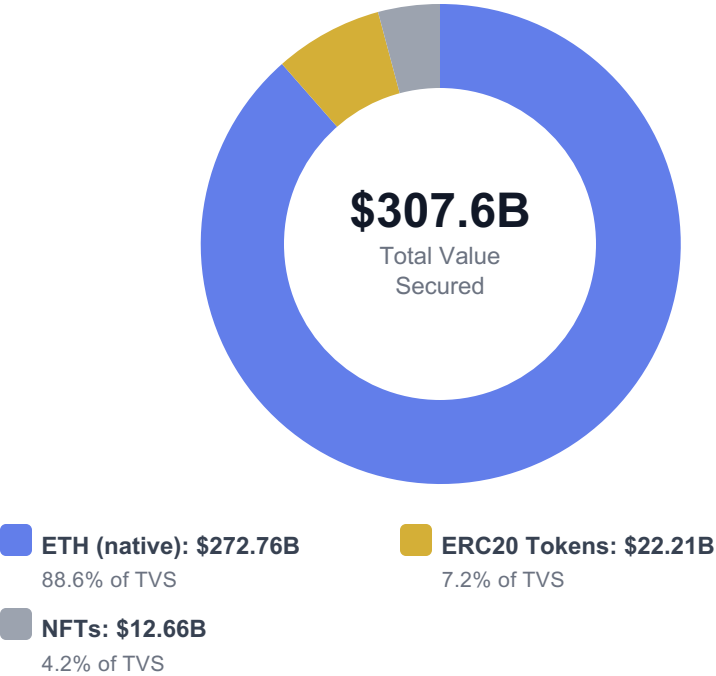


Model Parameters: Current vs. Equilibrium Assumption

PARAMETER	CURRENT STATE	EQUILIBRIUM ASSUMPTION	STATUS
ETH Staked	38.9M ETH	39M ETH	MET
Avg Base Gas	0.1 Gwei	22 Gwei	220× GAP
Annual Issuance/Burn	~1,037K deficit	~1,037K ETH balanced	PENDING
Non-Staker Burn Rate	~0.01 ×/yr	1.2%/yr	220× GAP

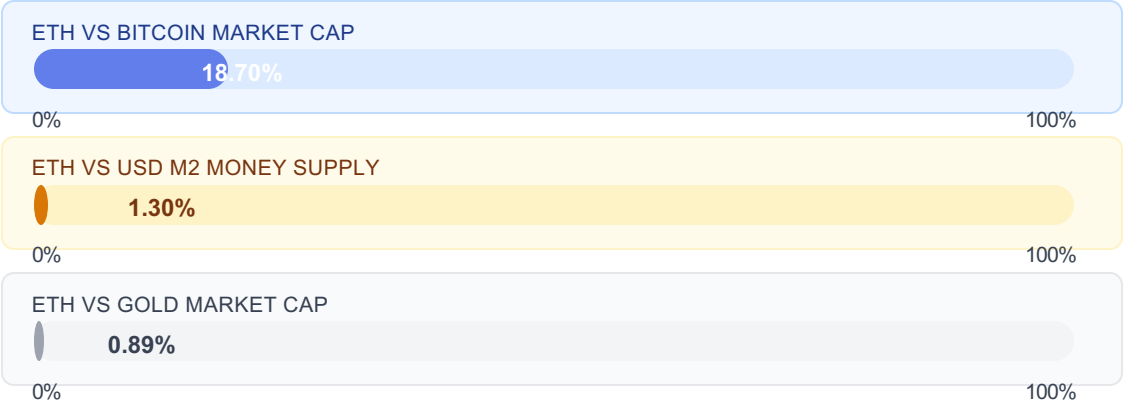
ETH secures \$307B+ in total value and has reached 18.7% of Bitcoin's market cap — monetary premium building

Total Value Secured (TVS) Composition



6,000+ community members
actively tracking ultrasound.money metrics

Flipping Progress: ETH Market Cap vs. Monetary Assets



Top Assets by Value on Ethereum

TOP ERC20 TOKENS		TOP NFT COLLECTIONS	
Dai (DAI)	\$4.41B	CryptoPunks	\$2.13B
Shiba Inu (SHIB)	\$3.51B	Bored Ape YC	\$0.68B
Cronos (CRO)	\$2.97B	ENS Domains	\$0.63B
Tether Gold (XAUT)	\$2.65B	Pudgy Penguins	\$0.51B

Monetary Premium Trajectory

At 18.7% of BTC, ETH has significant room to grow. \$307B+ TVS validates Ethereum as a credible settlement layer — monetary premium follows security and TVS at scale.

Ultra sound money thesis intact — on-chain gas activity is the single critical variable separating current inflation from long-term deflation

 CURRENT STATE

Mildly Inflationary
+0.83%/year at 0.1 Gwei avg
Burns offset only ~1% of issuance
(192 ETH burned vs 19,638 ETH issued)

⚡ Temporary — low gas headwind, not structural failure

 MECHANISM

Burn Engine Intact
EIP-1559 structurally sound
Activity is the only missing input
22 Gwei sustained → equilibrium

⚡ Watch DeFi + L2 activity recovery as leading indicator

 SUPPLY LOCK

32% Staked — Scarcity Engine
38.9M ETH locked in validators
9.1M ETH avg lock: 10.7 years
2.9% APR (issuance-dominated)

⚡ Supply lock independent of gas activity — always compressing

 LONG-TERM THESIS

Equilibrium at 125.7M ETH — Structurally Sound
200-year model: issuance/burn balance at ~1,037K ETH/yr
Assumption: 39M staked, 22 Gwei avg → staker APR 2.7%, non-staker burn 1.2%/yr
Current supply 121.6M = 96.4% of equilibrium ceiling — limited dilution upside

⚡ Ultra sound money ceiling is mathematically constrained; Bitcoin's 21M cap vs. ETH's ~125.7M convergence — both programmatically bounded

 MONETARY PREMIUM

\$307B+ TVS · 18.7% of BTC · Growing
Total Value Secured: ETH \$272.76B + ERC20 \$22.21B + NFTs \$12.66B
Flipping: 18.70% of BTC | 1.30% of USD | 0.89% of Gold
6,000+ community members tracking — growing conviction ecosystem

⚡ Monetary premium lags security + TVS. Both are growing — thesis strengthens as Ethereum secures more global value

 Forward-Looking Investor Watch Metrics:

Weekly ETH burn >5,000 ETH → approaching break-even | Avg gas >5 Gwei → thesis accelerating | L2 + DeFi activity recovery → primary catalyst

All data: ultrasound.money · Supply: 121,603,980 ETH · Gas: 0.1 Gwei avg · Staked: 38.9M ETH · TVS: \$307.6B · Equilibrium: 125.7M ETH